

ZTO Express (ZTO US/2057 HK)

1Q26 beat, briefing points to stronger unit economics as competition rationalizes despite Alibaba stake sale alert

ZTO reported 1Q26 results and held a briefing this morning; the quarter came in as a beat, driven by better-than-expected ASP and mix, while unit-cost improvements also surprised positively as AI/digitalization continued to translate into measurable efficiency gains. Briefing tone stayed constructive on the durability of anti-involution and the improving competitive landscape, even as industry volume growth is clearly softening (recent April datapoints point to further deceleration), which likely anchors full-year volume outcome toward the low end of the 10–13% guidance range. Net-net, the setup remains supportive for pricing discipline, margin progression and share gains for scaled leaders, with ZTO showing tangible evidence in 1Q26 via share lift (c.+1.2ppt) and pricing uplift (+Rmb0.11/parcel) alongside Rmb0.06/parcel transit unit-cost reduction.

Stock view: Stock reaction post 1Q26 result was negative yesterday (ZTO-H -3% vs. HSC flattish), driven by Alibaba continuing to trim its stake and the termination of the investor rights agreement; we see this as a sentiment-driven overhang rather than a fundamental deterioration, and view dips as buying opportunities. We keep **OW** and keep the name as a **top pick** in logistics alongside **JD Logistics**, given the company's ability to grow faster than industry, hold pricing above the floor in a more rational regime, and keep compounding structural cost advantages through technology and network execution.

Briefing takeaways – Confidence in both market share gains and margin improvement sets the name apart heading into 2026 compared to prior years

- **Full-year guidance stays unchanged, but the path skews toward the low end on volume while profitability momentum is poised to look stronger in 2Q on base effects.** Management reiterated FY26 parcel volume guidance unchanged at 10–13% Y/Y (42.37–43.52B). However, the briefing and callback both pointed to industry growth decelerating further—April data already soft, and May tracking low single digits—so volume is likely to trend toward the lower end of the range, with ZTO still running ahead of the industry. The profitability setup into 2Q is more constructive than the volume headline: callback flagged a low base in 2Q25 (peak price war) and overseas dividend tax item (Rmb166MM) in 2Q25, with operating profit growth poised to print strong Y/Y (c.40%), while bottom-line outcome depends on non-op items.
- **Anti-involution is still the anchor for pricing and competitive sanity even as industry growth cools.** The briefing reinforced that anti-involution remains in force post-CNY, with stronger enforcement in production-heavy provinces and tightening in laggard regions,

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2057.HK, 2057 HK

Overweight

Price: HK\$174.10

20 May 2026

Price Target: HK\$225.00

PT End Date: 30 Jun 2027

ZTO, ZTO US

Overweight

Price: \$23.55

19 May 2026

Price Target: \$29.00

PT End Date: 30 Jun 2027

See page 7 for analyst certification and important disclosures, including non-US analyst disclosures.

supporting a continued “price floor” and preventing a return to the low pricing environment. That said, management acknowledged industry growth is softening—May industry growth is expected to run at low single digits, which frames the key debate as “price/mix/quality vs. pure volume.” The message is that the competitive landscape is improving in substance (less disorder, better discipline), while the macro/industry volume cycle is worsening in optics. ZTO’s positioning remains to run above-industry growth, keep share ambitions intact, and lean into mix upgrades (retail/reverse) that are more compatible with a rational pricing regime than low-value e-commerce parcels.

- **Retail and reverse logistics are now meaningful strategic levers, not side bets, and they are lifting mix, pricing power and share.** Management highlighted retail volume +65% Y/Y, with 1Q daily retail volumes at 9.7MM and an implied improving run-rate in 2Q, alongside c.+1.4ppt increase in market presence and overall market share up c.+1.2ppt in 1Q26. Ecommerce platforms remain efficiency-led with Douyin a major contributor (ZTO’s daily volume from Douyin is c.7MM, c.50% share). This mix matters for unit economics: ASP uplift in 1Q (+Rmb0.11) was driven by Key Accounts (+Rmb0.18) while volume incentives (-Rmb0.09) partially offset, and management also flagged reverse parcels remain more profitable than standard e-commerce parcels even as reverse ASP trends below Rmb5 and could drift lower with platform choices and tenders.
- **AI and digitalization are moving from cost-out tools to operating-system upgrades, supporting both cost discipline and service quality differentiation.** Management framed AI as deeply embedded across the chain: transport optimization and route design, digitized load-factor standards and incentives, driver cost-saving incentives, and standardized fleet O&M cost models. The tangible unit-economics read-through is strong in 1Q: transportation cost per parcel was Rmb0.37 (down Rmb0.04 Y/Y) and sorting cost was Rmb0.25 (down Rmb0.02 Y/Y). Management also guided that full-year unit transit cost is poised to decline by a further Rmb0.03. Beyond cost, AI tools are being used to improve operational control and decision velocity, supporting both service reliability and lower manual intervention.
- **Cost swings like diesel and social security are treated as manageable, with price discipline and network stability as the offset.** On diesel price, management noted March price hikes for pass-throughs, but noted April saw easing; the key message is that anti-involution-related price lifts have largely covered fuel inflation, and 2Q diesel price volatility is unlikely to be a major swing factor for network cost. On social security, management welcomed faster rollout despite near-term unit-cost pressure, viewing it as consistent with anti-involution’s direction; longer term, a more stable labor setup lowers churn and supports last-mile service quality. This matters strategically because ZTO is prioritizing network capability upgrades rather than extracting value from outlets for

short-term profitability, which should be supportive for franchise cohesion and sustainable share capture in a slower industry growth tape.

- **Capital intensity stays contained while shareholder return remains a visible pillar, helping investors look through near-term sentiment noise.** Management reiterated FY26 capex at c.Rmb6B (1Q already Rmb1.8B), consistent with a post-peak capex profile that prioritizes automation and efficiency upgrades rather than footprint build-out. The broader message remains that strong Op-CF and a disciplined capex envelope support ongoing shareholder return mechanisms (dividends + buybacks) while preserving flexibility for network investments that protect service quality and share. Alibaba's actions align with its own strategic reallocation toward cloud/AI, and ZTO's fundamentals remain intact.

Results review – 1Q26 beat was driven by pricing/mix upside and faster-than-expected efficiency gains

- **Revenue and earnings beat consensus on better ASP, faster efficiency gains, and a less supportive non-op base in 1Q25.** 1Q26 revenue grew +22.0% Y/Y to Rmb13.28B, beating both our estimate (Rmb12.53B) and BBG (Rmb12.60B) by c5%. Parcel volume growth was +13.2% Y/Y, in line with our expectation and materially ahead of industry growth (5.8%), translating into market share lift of c.+1.2ppt. The key upside driver was pricing/mix: management flagged price hikes of +8% Y/Y and ASP up +Rmb0.11, driven by +Rmb0.18 from KA mix, partly offset by -Rmb0.09 from volume incentives. Profitability was more nuanced on headline margins—GPM dipped 0.3ppt to 24.4% and non-GAAP net margin fell 2.8ppt to 17.9%—but adjusted net profit still rose +5.2% Y/Y to Rmb2.38B (vs. guidance for flat), and the “quality of beat” looks better once adjusting for non-op: excluding the reduced government subsidy versus 1Q25, underlying earnings growth ran closer to +22%.
- **Unit economics improved meaningfully, with transport and transit costs doing the heavy lifting and providing a clearer runway into 2Q/2H.** Cost of sales increased +22.5% Y/Y, broadly tracking revenue, but the unit cost story is positive: management quantified unit transportation cost at Rmb0.37 (down Rmb0.04 Y/Y) and sorting cost/parcel at Rmb0.25 (down Rmb0.02 Y/Y). These gains are consistent with heavier use of automation, digitized management tools, load-factor optimization, route design, and tighter driver and fleet cost controls. Management's full-year goal is a further cRmb0.03 reduction in core transit costs, and callback color suggested the 1Q trajectory is tracking ahead, which matters because industry volume growth is slowing and the market's focus is shifting from “pure scale” to “quality of scale.” With pricing discipline holding, the combination of mix upgrade (retail/reverse) + continued unit-cost deflation is poised to support

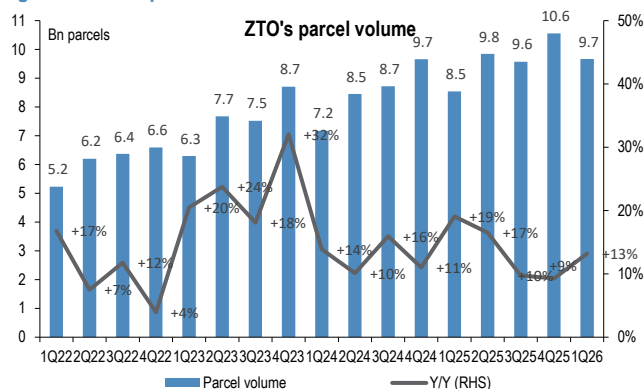
margins even if full-year volume lands at the low end of the 10–13% guidance band.

Table 1: ZTO 1Q26 result summary

Rmb MM\$ (PRC GAAP)	1Q26	1Q25	Y/Y	FY26JPMe	% achieved
Revenue	13,282	10,891	22.0%	55,434	24.0%
Cost of sales	(10,047)	(8,202)	22.5%	(40,719)	24.7%
Gross profit	3,235	2,689	20.3%	14,715	22.0%
GPM%	24.4%	24.7%	-0.3ppts	26.5%	-2.2ppts
Operating expenses	(690)	(284)	143.1%	(2,137)	32.3%
SG&A	(816)	(738)	10.6%	(2,978)	27.4%
Others	126	454	-72.3%	841	14.9%
Non-operating expenses/income	142	162	-12.3%	364	39.0%
Financial expenses/income	116	130	-10.7%	364	31.7%
EBIT	2,759	2,640	4.5%	13,303	20.7%
EBIT margin%	20.8%	24.2%	-3.5ppts	24.0%	-3.2ppts
Non-GAAP EBITDA	3,941	3,687	6.9%	17,200	22.9%
Non-GAAP EBITDA margin	29.7%	33.8%	-4.2ppts	31.0%	-1.4ppts
Earnings before taxes	2,688	2,568	4.7%	12,943	20.8%
Income tax expenses	(552)	(532)	3.9%	(2,554)	21.6%
Net profit	2,156	2,039	5.7%	10,476	20.6%
Minority interest	(38)	(46)	-17.2%	0	n.a.
Net profit attributable to shareholders	2,118	1,993	6.3%	10,476	20.2%
Net margin	15.9%	18.3%	-2.4ppts	18.9%	-2.9ppts
Non-GAAP net profit	2,378	2,260	5.2%	10,734	22.2%
Net margin	17.9%	20.7%	-2.8ppts	19.4%	-1.5ppts

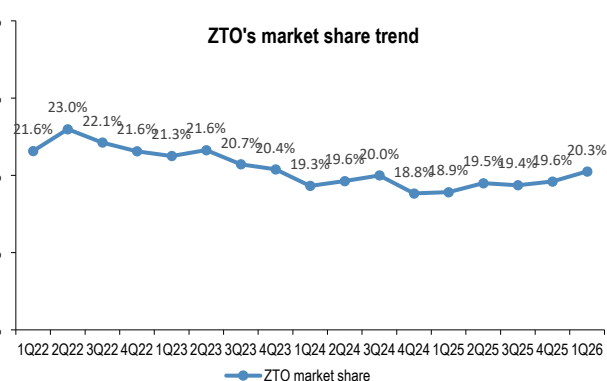
Source: Company data, J.P. Morgan estimates.

Figure 1: ZTO's parcel volume



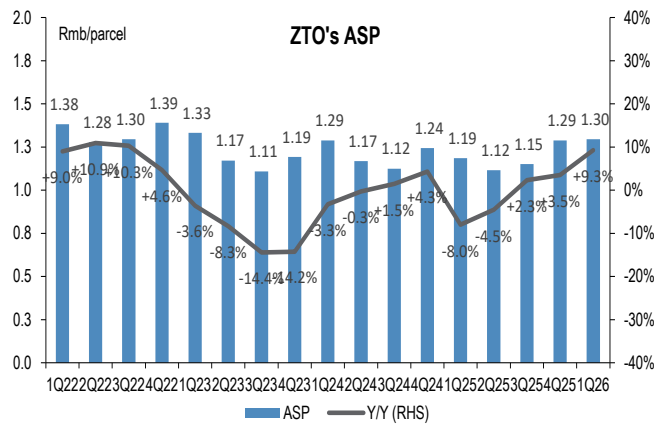
Source: Company data.

Figure 2: ZTO's market share trend



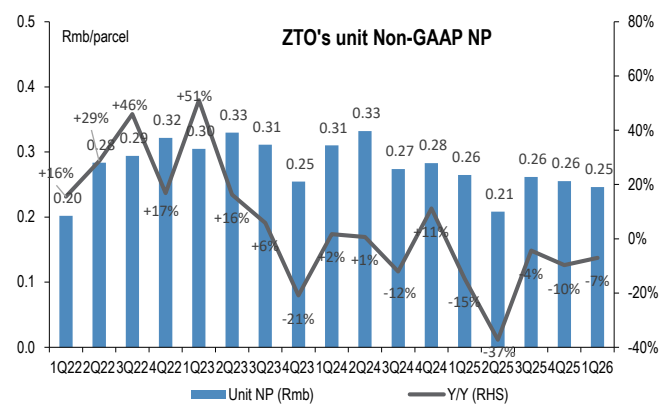
Source: Company data.

Figure 3: ZTO's ASP trend



Source: Company data.

Figure 4: ZTO's unit Non-GAAP NP



Source: Company data.

ZTO Express (Cayman) Inc. - H (Overweight; Price Target: HK\$225.00)

Investment Thesis

ZTO Express is China's largest express parcel provider, with an approximate 20% market share (as of FY25), and is the most profitable entity among the Tongda players, which include YTO, STO, Yunda and J&T. ZTO's competitive edge is particularly evident in its strong positioning on ecommerce platforms including Taobao and Douyin, attributed to its superior service quality and most efficient, well-established logistics infrastructure network. ZTO continues to balance market share retention with profitability as China's anti-involution policy continues.

Valuation

Our Jun-27 H-share PT of HK\$225 is based on our ZTO-US DCF-based Jun-27 PT of US\$29, a USD/HKD exchange rate of 7.8 and a conversion ratio of 1:1.

Risks to Rating and Price Target

Downside risks to our rating and price target include: (1) a weaker-than-anticipated macroeconomic environment, which could negatively impact our volume projections and hinder growth; and 2) an unforeseen increase in oil prices, which could elevate operational costs and challenge our cost forecasts.

ZTO Express (*Overweight; Price Target: \$29.00*)

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We value ZTO-US using a DCF valuation methodology. Our Jun-27 PT of US\$29 is based on the assumptions below:

- Risk-free rate of return: 2.5%
- Equity risk premium: 7.0%
- Company Beta: 0.76
- Cost of equity: 7.8%
- Pre-tax cost of debt: 5.0%
- Tax rate: 25%
- After-tax cost of debt: 3.8%
- Target debt to total capital: 0%
- WACC: 7.8%
- Terminal growth: 1%

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JD Logistics(2618.HK/HK\$13.69/OW)

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ZTO Express - H (2057.HK, 2057 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
30-Oct-24	OW	185.40	234
18-Dec-24	OW	153.40	195
20-Mar-25	N	172.20	179
29-May-25	OW	134.50	164
21-Aug-25	OW	154.70	179
08-Oct-25	OW	148.00	187
24-Nov-25	OW	148.80	197
12-Apr-26	OW	193.60	225

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 29, 2024. All share prices are as of market close on the previous business day.

ZTO Express (ZTO, ZTO US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
30-Aug-23	OW	25.00	40
17-Nov-23	OW	24.04	37
20-Mar-24	OW	21.66	32
16-May-24	OW	21.39	30
21-Aug-24	OW	19.80	31
30-Oct-24	OW	23.76	30
18-Dec-24	OW	20.05	25
20-Mar-25	N	21.76	23
29-May-25	OW	17.53	21
21-Aug-25	OW	19.53	23
08-Oct-25	OW	18.96	24
24-Nov-25	OW	19.22	25
12-Apr-26	OW	24.76	29

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 22, 2016. All share prices are as of market close on the previous business day.

JD Logistics (2618.HK, 2618 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
16-Nov-23	OW	9.91	16
08-Mar-24	OW	8.11	17
18-May-24	OW	10.22	19
18-Aug-24	OW	9.49	20
06-Jan-25	OW	12.86	17
29-Apr-25	OW	11.90	16
23-Oct-25	OW	12.42	15
27-Apr-26	OW	15.14	20

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 07, 2021. All share prices are as of market close on the previous business day.

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